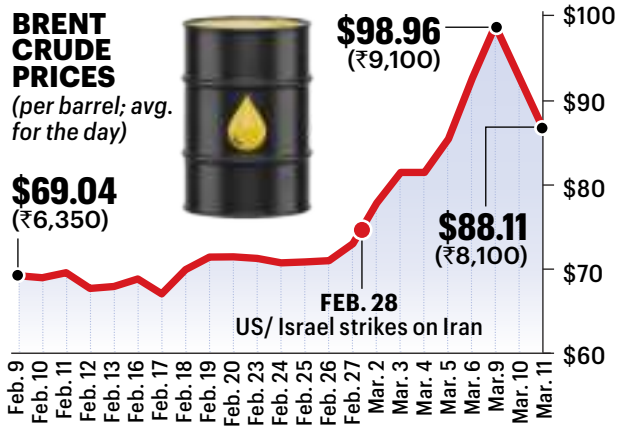
THE OIL TURMOIL

The war's impact on global oil and gas prices, and India's vulnerability



INDIA'S OIL IMPORT BILL (FY25)

$137 BN

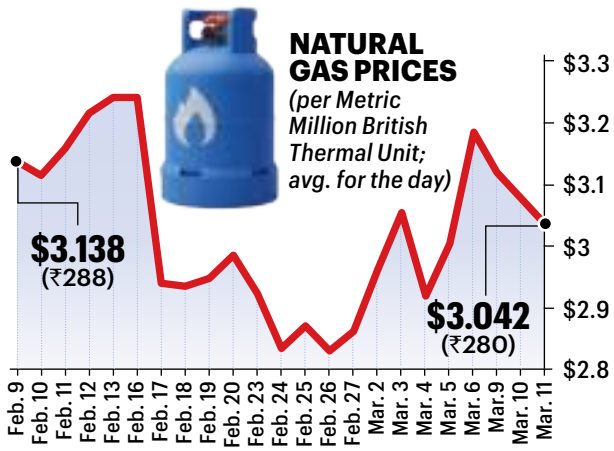
(₹12.6 lakh crore)

WAR IMPACT

$14 BN

(₹1.3 lakh crore)

or a 10 per cent increase in India's import bill if crude oil prices rise by $10 (about Rs 920) per barrel



INDIA'S GAS IMPORT BILL (FY25)

$15.2 BN

(₹1.4 lakh crore)

WAR IMPACT

$1.2 BN

(₹11,000 crore)

or an 8 per cent increase in India's import bill if gas prices rise by $1 (about Rs 92) per mmbtu

Sources: oilprice.com & GoI

Graphic by TANMOY CHAKRABORTY

OIL PRICES BRIEFLY APPROACHED $120 A BARREL ON MAR. 8-9 BEFORE EASING. IF DISRUPTIONS PERSIST, ANALYSTS SAY, THEY COULD EASILY SURGE AGAIN

through the strait could be targeted have discouraged shipping companies from operating there. War-risk insurance costs have surged, further complicating the movement of cargo. For New Delhi, the crisis is a direct economic threat. With more than 85 per cent of its crude imported and roughly half of those supplies moving through the Strait of Hormuz, the government has begun activating contingency measures—from regulating natural gas supplies and boosting LPG production to reopening the option of buying Russian crude—to cushion the economy from a prolonged energy shock.

The volatility in global energy markets reflects the rapid escalation of the conflict. US president Donald Trump had initially hoped the February 28 strike that killed several senior Iranian figures, including Supreme Leader Ali Khamenei, would cripple the country's leadership. But on March 9, Tehran named Mojtaba Khamenei, the slain leader's son, as the country's new Supreme Leader—signalling continued defiance and a prolonged conflict. Brent crude briefly approached $120 (Rs 11,000) a barrel as fears grew of a sustained disruption to global supplies. Prices eased to below $90 (Rs 8,280) by March 10 after Trump suggested that the conflict could end "very soon", but analysts warn that markets remain extremely fragile. Should the shipping through Hormuz remain constrained, prices could easily breach the $120 mark.

The US itself is largely insulated from direct supply disruptions because it is a major oil producer. But the ripple effects of high energy prices—particularly inflation—will still affect its economy, given its reliance on imports of consumer and industrial goods. Asian economies like China, India, Japan and South Korea, which are heavily dependent on imported oil, are far more exposed. Europe faces a different vulnerability. Any prolonged conflict in West Asia could push up natural gas prices and disrupt supply chains that the continent has been trying to rebuild since cutting back on Russian energy imports.

THE ECONOMIC COST ON INDIA

For India, the risk lies in the economic cost of higher energy prices. In FY25 alone, India's oil import bill stood at about $137 billion (Rs 12.6 lakh crore). Analysts estimate that even a $10 per barrel rise in crude prices could raise India's annual import bill by roughly $14 billion (Rs 1.3 lakh crore), i.e. a jump of 10 per cent. Natural gas prices carry similar risks. India's gas import bill in FY25 was about $15.2 billion (Rs 1.4 lakh crore), and every $1 per million British thermal units (mmbtu) increase could add around $1.2 billion (Rs 11,000 crore), or 8 per cent, to the country's import costs.